Shree Ganesh Traders v. Rakesh Patil

Criminal complaint - cheque dishonour · Judicial Magistrate First Class, Pune

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1 Summary

Filed by the Summarizer

A hardware dealer, Shree Ganesh Traders, says it sold building material worth Rs. 4.8 lakh to Rakesh Patil on credit in late 2024.

To pay most of this, Mr. Patil gave a cheque for Rs. 4.5 lakh. When the dealer deposited it in January 2025, the bank returned it because there was not enough money in the account.

The dealer sent a legal notice asking for payment within 15 days. Mr. Patil did not pay or reply, so the dealer filed this criminal complaint for a bounced cheque.

Mr. Patil accepts that he signed the cheque, but says it was a blank 'security' cheque from 2023, that some goods were defective and returned, and that he never got the notice.

PARTIES

M/s Shree Ganesh Traders (Anil Deshmukh)
Complainant - supplier of goods

Rakesh Patil
Accused - drawer of the cheque

TIMELINE

Aug-Nov 2024	Goods worth Rs. 4,80,000 supplied on credit
10.01.2025	Cheque No. 004512 for Rs. 4,50,000 dated
17.01.2025	Cheque returned: Funds Insufficient
05.02.2025	Legal notice sent by registered post
08.02.2025	Notice delivered (postal tracking)
23.02.2025	15-day payment period ends, no payment
10.03.2025	Complaint filed

2 Legal Insights

Filed by the Legal Analyst

KEY FACTS

- The accused admits his signature on cheque No. 004512 for Rs. 4,50,000.

ISSUES FOR THE COURT

- Was the cheque issued for a legally enforceable debt, or only as security?

- The cheque was dishonoured on 17.01.2025 for 'Funds Insufficient'.
- A demand notice was sent within 30 days of the return memo and delivered on 08.02.2025.
- No payment was made within 15 days of the notice.
- The complaint was filed on 10.03.2025, within one month of the cause of action.
- Invoices, ledger and signed delivery challans support a debt of Rs. 4,80,000.
- The accused has produced no return challan or written complaint about defective goods.
- Has the accused rebutted the presumption under Section 139 on a preponderance of probabilities?
- Was the demand notice validly served at the address on the cheque?

ARGUMENTS

Complainant (Shree Ganesh Traders)

- The signature is admitted, so the presumption under Sections 118 and 139 arises.
- Documents show goods worth Rs. 4.8 lakh were delivered and remain unpaid.
- The notice was sent to the address on the cheque and tracking shows delivery.

Accused (Rakesh Patil)

- The cheque was a blank security cheque from 2023, not issued for this debt.
- Part of the goods were defective and returned, so the claimed amount is inflated.
- He did not receive the legal notice.

RELEVANT LAWS

ACT	SECTION	WHY IT MATTERS
Negotiable Instruments Act, 1881	**Section 138**	Offence of dishonour of a cheque for insufficient funds.
Negotiable Instruments Act, 1881	**Section 139**	Presumption that the cheque was given for a debt; the accused can rebut it.
Negotiable Instruments Act, 1881	**Section 118**	Presumption of consideration for a negotiable instrument.
Negotiable Instruments Act, 1881	**Section 142**	Cognizance on a written complaint within one month; jurisdiction where the payee's bank branch is.
Negotiable Instruments Act, 1881	**Section 143A**	Court may order interim compensation of up to 20% of the cheque amount.
General Clauses Act, 1897	**Section 27**	Presumption of service for a notice sent by registered post to the correct address.

3 Comparison

Filed by the Cross-Verifier

High confidence

Dates, amounts and documents are stated clearly in the complaint and both agents read them the same way.

AGENTS AGREE

- Both agree the signature is admitted and the cheque bounced for insufficient funds.
- Both place the notice, the 15-day period and the filing date within the legal time limits.
- Both identify the 'security cheque' defence as the main dispute.

DIFFERENCES

- The Summarizer focuses on the story; the Legal Analyst adds the statutory presumptions that shift the burden to the accused.
- Only the Legal Analyst flags the presumption of service under the General Clauses Act for the notice defence.

INCONSISTENCIES

- The cheque (Rs. 4,50,000) is less than the claimed debt (Rs. 4,80,000). Both outputs mention it, but the effect of the alleged returned goods on the balance is not yet proved by either side.

4 Final Analysis

Filed by the Chief Analyst

> This is a complaint for a dishonoured cheque under Section 138 of the NI Act. The procedural steps (presentation, notice, 15-day period and filing) appear to be within time. The signature is admitted, so the law presumes the cheque was given for a debt. The case will mainly turn on whether the accused can make his 'security cheque' and 'defective goods' defence probable with evidence.

KEY FINDINGS

- All statutory timelines under Sections 138 and 142 appear to be met.
- The admitted signature triggers the presumptions under Sections 118 and 139.
- The complainant's documents (invoices, ledger, signed challans) support the debt.
- The accused has not yet produced evidence of returned goods or of the cheque being only security.
- A notice sent by registered post to the admitted address is presumed served unless disproved.

Complainant

STRENGTHS

- Admitted signature
- Complete paper trail for the supply
- Timelines met

WEAKNESSES

- Cheque amount differs from the ledger balance, which needs explaining

Accused

STRENGTHS

- Can rebut the presumption on a preponderance of probabilities, without proving it beyond doubt

WEAKNESSES

- No return challans or written defect complaints
- Admits the notice address is his own

OPEN QUESTIONS

- Is there any written record of goods being returned in October 2024?
- When was the cheque actually handed over, and was the date filled in by the complainant?
- Do the ledger entries match the invoices and the cheque amount?

SUGGESTED NEXT STEPS

1. Collect certified copies of the bank return memo and postal tracking report.
2. Prepare the ledger reconciliation explaining the Rs. 30,000 difference.
3. Note that an appeal against conviction may require a deposit of at least 20% under Section 148.
4. Explore settlement: Section 147 makes this offence compoundable at any stage.
5. Consult an advocate before the evidence stage.

Decision support, not a decision

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